

The Insurance Regulatory And Development Authority (Protection Of Policy-Holders' Interests) Regulations, 2002

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The Insurance Regulatory And Development Authority (Protection Of Policy-Holders' Interests) Regulations, 2002

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The Insurance Regulatory And Development Authority (Protection Of Policy-Holders' Interests) Regulations, 2002

Rule

THE-INSURANCE-REGULATORY-AND-DEVELOPMENT-AUTHORITY-PROTECTION-OF-POLICY-HOLDERS-INTERESTS-REGULATIONS-2002 of 2002

Published on 26 April 2002

Commenced on 26 April 2002

[This is the version of this document from 26 April 2002.]

[Note: The original publication document is not available and this content could not be verified.]

The Insurance Regulatory And Development Authority (Protection Of Policy-Holders' Interests) Regulations, 2002

Published vide Notification F. No. IRDA/Reg/4/2002, dated 26.4.2002, published in the Gazette of India, Extraordinary, Part III, Section 4, dated 30.4.2002.

14.

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In exercise of the powers conferred by clause (zc) of sub-section (2) of section 114-A of the Insurance Act, 1938 (4 of 1938

), read with sections 14 and 26 of the Insurance Regulatory and Development Authority Act, 1999 (41 of 1999

), the Authority, in consultation with the Insurance Advisory Committee, hereby makes the following regulations, namely:-

1.

Short title and commencement

.(1) These regulations may be called The Insurance Regulatory and Development Authority (Protection of Policy-holders' Interests) Regulations, 2002.

(2)

They shall come into force on the date of their publication in the Official Gazette and shall apply to all contracts of insurance effected thereafter, except regulation 4(1) which shall come into force on 1st October, 2002.

(3)

These regulations are in addition to any other regulations made by the Authority, which may, inter alia, provide for protection of the interest of policy-holders.

(4)

These regulations apply to all insurers, insurance agents, insurance intermediaries and policy-holders.

2.

Definitions

.-In these regulations, unless the context otherwise requires,-

(a)

"Act" means the Insurance Act, 1938 (

4 of 1938

);

(b)

"Authority" means the Insurance Regulatory and Development Authority established under the provisions of section 3 of the Insurance Regulatory and Development Authority Act, 1999 (

41 of 1999

);

(c)

"Cover" means an insurance contract whether in the form of a policy or a cover note or a Certificate of Insurance or any other form prevalent in the industry to evidence the existence of an insurance contract;

(d)

"Proposal Form" means a form to be filled in by the proposer for insurance, for furnishing all material information required by the insurer in respect of a risk, in order to enable the insurer to decide whether to accept to decline, to undertake the risk, and in the event of acceptance of the risk, to determine the rates, terms and conditions of a cover to be granted.

Explanation .-"Material" for the purpose of these regulations shall mean and include all important, essential and relevant information in the context of underwriting the risk to be covered by the insurer;

(e)

"Prospectus" means a document issued by the insurer or in its behalf to the prospective buyer of insurance, and should contain such particulars as are mentioned in rule 11 of Insurance Rules, 1939 and includes a brochure or leaflet serving the purpose. Such a document should also specify the type and character of riders on the main product indicating the nature of benefits flowing thereupon;

(f)

words and expressions used and not defined in these regulations, but defined in the Act, or the Life Insurance Corporation Act, 1956 (

31 of 1956

) or the General Insurance Business (Nationalisation) Act, 1972 (57 of 1972), or the Insurance Regulatory and Development Authority Act, 1999 (

41 of 1999

) or the Insurance Rules, 1939 shall have the meanings respectively assigned to them in those Acts or the Rules.

3.

Point of sale

.- [(1) Notwithstanding anything mentioned in regulation 2(e) above, a prospectus of any insurance product shall clearly state the scope of benefits, the extent of insurance cover and in an explicit manner explain the warranties, exceptions and conditions of the insurance cover and, in case of life insurance, whether the product is participating (with profits) or non-participating (without profits). The allowable rider or riders on the product shall be clearly spelt out with regard to their scope of benefits, and in no case, the premium relatable to health related or critical illness riders in the case of term or group products shall exceed 100% of premium under the basic product. All other riders put together shall be subject to a ceiling of 30 per cent. of the premium of the basic product. Any benefit arising under each of the riders shall not exceed the sum assured under the basic product:

Provided that the benefit amount under riders shall be subject to section 2(11) of the Insurance Act, 1938.

Explanation .-The rider or riders attached to a life policy shall bear the nature and character of the main policy, viz ., participating or non-participating and accordingly the life insurer shall make provisions, etc., in its books.]

[Substituted by Notification No. IRDA/Reg./10/2002, dated 16.10.2002, dated 16.10.2002 (w.e.f. 16.10.2002).]

(2)

An insurer or its agent or other intermediary shall provide all material information in respect of a proposed cover to the prospect to enable the prospect to decide on the best cover that would be in his or her interest

(3)

Where the prospect depends upon the advice of the insurer or his agent or an insurance intermediary, such a person must advise the prospect dispassionately.

(4)

Where, for any reason, the proposal and other connected papers are not filled by the prospect, a certificate may be incorporated at the end of proposal form from the prospect that the contents of the form and documents have been fully explained to him and that he has fully understood the significance of the proposed contract.

(5)

In the process of sale, the insurer or its agent or any intermediary shall act according to the code of conduct prescribed by-

(i)

the Authority;

(ii)

the Councils that have been established under section 64-C of the Act, and

(iii)

the recognized professional body or association of which the agent or intermediary or insurance intermediary is a member.

4.

Proposal for insurance

.- (1) Except in cases of a marine insurance cover, where current market practices do not insist on a written proposal form, in all cases, a proposal for grant of a cover, either for life business or for general business, must be evidenced by a written document. It is the duty of an insurer to furnish to the insured free of charge, within 30 days of the acceptance of a proposal, a copy of the proposal form.

(2)

Forms and documents used in the grant of cover may, depending upon the circumstances of each case, be made available in language recognised under the Constitution of India.

(3)

In filling the form of proposal, the prospect is to be guided by the provisions of section 45 of the Act. Any proposal form seeking information for grant of life cover may prominently state therein the requirements of section 45 of the Act.

(4)

Where a proposal form is not used, the insurer shall record the information obtained orally or in writing, and confirm it within a period of 15 days thereof with the proposer and incorporate the information in its cover note or policy. The onus of proof shall rest with the insurer in respect of any information not so recorded, where the insurer claims that the proposer suppressed any material information or provided misleading or false information on any matter material to the

grant of a cover.

(5)

Wherever the benefit of nomination is available to the proposer, in terms of the Act or the conditions of policy, the insurer shall draw the attention of the proposer to it and encourage the prospect to avail the facility.

(6)

Proposal shall be processed by the insurer with speed and efficiency and all decisions thereof shall be communicated by it in writing within a reasonable period not exceeding 15 days from receipt of proposal by the insurer.

5.

Grievance redressal procedure

.-Every insurer shall have in place proper procedures and effective mechanism to address complaints and grievances of policy-holders efficiently and with speed and the same alongwith the information in respect of Insurance Ombudsman shall be communicated to the policy-holder alongwith the policy document and as may be found necessary.

6.

Matters to be stated in life insurance policy

.- (1) A life insurance policy shall clearly state-

(a)

the name of the plan governing the policy, its terms and conditions;

(b)

whether it is participating in profits or not;

(c)

the basis of participation in profits such as cash bonus, deferred bonus, simple or compound reversionary bonus;

(d)

the benefits payable and the contingencies upon which these are payable and the other terms and conditions of the insurance contract;

(e)

the details of the riders attaching to the main policy;

(f)

the date of commencement of risk and the date of maturity or date(s) on which the benefits are payable;

(g)

the premium payable, periodicity of payment, grace period allowed for payment of the premium, the date of the last instalment of premium, the implication of discontinuing the payment of an instalment(s) of premium and also the provisions of a guaranteed surrender value;

(h)

the age at entry and whether the same has been admitted;

(i)

the policy requirements for (a) conversion of the policy into paid up policy, (b) surrender, (c) non-forfeiture, and (d) revival of lapsed policies;

(j)

contingencies excluded from the scope of the cover, both in respect of the main policy and the riders;

(k)

the provisions for nomination, assignment, and loans on security of the policy and a statement that the rate of interest payable on such loan amount shall be as prescribed by the insurer at the time of taking the loan;

(l)

any special clauses or conditions, such as, first pregnancy clause, suicide clause, etc.; and

(m)

the address of the insurer to which all communications in respect of the policy shall be sent;

(n)

the documents that are normally required to be submitted by a claimant in support of a claim under the policy.

(2)

While acting under regulation 6(1) in forwarding the policy to the insured, the insurer shall inform by the letter forwarding the policy that he has a period of 15 days from the date of receipt of the policy document to review the terms and

conditions of the policy and where the insured disagrees to any of those terms or conditions, he has the option to return the policy stating the reasons for his objection, when he shall be entitled to a refund of the premium paid, subject only to deduction of a proportionate risk premium for the period on cover and the expenses incurred by the insurer on medical examination of the proposer and stamp duty charges.

(3)

In respect of a unit linked policy, in addition to the deductions under sub-regulation (2) of this regulation, the insurer shall also be entitled to repurchase the unit at the price of the units on the date of cancellation.

(4)

In respect of a cover, where premium charged is dependent on age, the insurer shall ensure that the age is admitted as far as possible before issuance of the policy document. In case where age has not been admitted by the time the policy is issued, the insurer shall make efforts to obtain proof of age and admit the same as soon as possible.

7.

Matters to be stated in general insurance policy

-(1) A general insurance policy shall clearly state-

(a)

the name(s) and address(es) of the insured and of any bank(s) or any other person having financial interest in the subject-matter of insurance;

(b)

full description of the property or interest insured;

(c)

the location or locations of the property or interest insured under the policy and, where appropriate, with respective insured values;

(d)

period of insurance;

(e)

sums insured;

(f)

perils covered and not covered;

(g)

any franchise or deductible applicable;

(h)

premium payable and where the premium is provisional subject to adjustment, the basis of adjustment of premium be stated;

(i)

policy terms, conditions and warrants;

(j)

action to be taken by the insured upon occurrence of contingency likely to give rise to a claim under the policy;

(k)

the obligations of the insured in relation to the subject-matter of insurance upon occurrence of an event giving rise to a claim and the rights of the insurer in the circumstances;

(l)

any special conditions attaching to the policy;

(m)

provisions for cancellation of the policy on grounds of misrepresentation, fraud, non-disclosure of material facts or non-cooperation of the insured;

(n)

the address of the insurer to which all communications in respect of the insurance contract should be sent;

(o)

the details of the riders attaching to the main policy;

(p)

proforma of any communication the insurer may seek from the policy-holders to service the policy.

(2)

Every insurer shall inform and keep informed periodically the insured on the requirements to be fulfilled by the insured regarding lodging of a claim arising in terms of the policy and the procedures to be followed by him to enable the insurer to settle a claim early.

8.

Claims procedure in respect of life insurance policy

-(1) A life insurance policy shall state the primary documents which are normally required to be submitted by a claimant in support of a claim.

(2)

A life insurance company, upon receiving a claim, shall process the claim without delay. Any queries or requirement of additional documents, to the extent possible, shall be raised all at once and not in a piecemeal manner, within a period of 15 days of the receipt of the claim.

(3)

A claim under a life policy shall be paid or be disputed giving all the relevant reasons, within 30 days from the date of receipt of all relevant papers and clarifications required. However, where the circumstances of a claim warrant an investigation in the opinion of the insurance company, it shall initiate and complete such investigation at the earliest. Where in the opinion of the insurance company the circumstances of a claim warrant an investigation, it shall initiate and complete such investigation at the earliest, in any case not later than 6 months from the time of lodging the claim.

(4)

Subject to the provisions of section 47 of the Act, where a claim is ready for payment but the payment cannot be made due to any reasons of a proper identification of the payee, the life insurer shall hold the amount for the benefit of the payee and such an amount shall earn interest at the rate applicable to a savings bank account with a scheduled bank (effective from 30 days following the submission of all papers and information).

(5)

Where there is a delay on the part of the insurer in processing a claim for a reason other than the one covered by sub-regulation (4), the life insurance company shall pay interest on the claim amount at a rate which is 2 per cent. above the bank rate prevalent at the beginning of the financial year in which the claim is reviewed by it.

9.

Claim procedure in respect of a general insurance policy

-(1) An insured or the claimant shall give notice to the insurer of any loss arising under contract of insurance at the earliest or within such extended time as may be allowed by the insurer. On receipt of such a communication, a general insurer shall respond immediately and give clear indication to the insured on the procedures that he should follow. In case where a surveyor has to be appointed for assessing a loss/claim, it shall be so done within 72 hours of the receipt of intimation from the insured.

(2)

Where the insured is unable to furnish all the particulars required by the surveyor or where the surveyor does not receive the full co-operation of the insured, the insurer or the surveyor as the case may be, shall inform in writing the insured about the delay that may result in the assessment of the claim. The surveyor shall be subjected to the code of conduct laid down by the Authority while assessing the loss, and shall communicate his findings to the insurer within 30 days of his appointment with a copy of the report being furnished to the insured, if he so desires. Where, in special circumstances of the case, either due to its special and complicated nature, the surveyor shall under intimation to the insured, seek an extension from the insurer for submission of his report. In no case shall a surveyor take more than six months from the date of his appointment to furnish his report.

(3)

If an insurer, on the receipt of a survey report, finds that it is incomplete in any respect, he shall require the surveyor under intimation to the insured, to furnish an additional report on certain specific issue as may be required by the insurer. Such a request may be made by the insurer within 15 days of the receipt of the original survey report:

Provided that the facility of calling for an additional report by the insurer shall not be resorted to more than once in the case of a claim.

(4)

The surveyor on receipt of this communication shall furnish an additional report within three weeks of the date of receipt

of communication from the insurer.

(5)

On receipt of the survey report or the additional survey report, as the case may be, an insurer shall within a period of 30 days offer a settlement of the claim to the insured. If the insurer, for any reasons to be recorded in writing and communicated to the insured, decides to reject a claim under the policy, it shall do so within a period of 30 days from the receipt of the survey report or the additional survey report, as the case may be.

(6)

Upon acceptance of an offer of settlement as stated in sub-regulation (5) by the insured, the payment of the amount due shall be made within seven days from the date of acceptance of the offer by the insured. In the case of delay in the payment, the insurer shall be liable to pay interest at a rate which is 2 per cent. above the bank rate prevalent at the beginning of the financial year in which the claim is reviewed by it.

10.

Policy-holders' servicing

-(1) An insurer carrying on life or general business, as the case may be, shall at all times, respond within 10 days of the receipt of any communication from its policy-holders in all matters, such as-

(a)

recording change of address;

(b)

noting a new nomination or change of nomination under a policy;

(c)

noting an assignment on the policy;

(d)

providing information on the current status of a policy indicating matters, such as, accrued bonus, surrender value and entitlement to a loan;

(e)

processing papers and disbursement of a loan on security of policy;

(f)

issuance of duplicate policy;

(g)

issuance of an endorsement under the policy; noting a change of interest or sum assured or perils insured, financial interest of a bank and other interests; and

(h)

guidance of the procedure for registering a claim and early settlement thereof.

11.

General

-(1) The requirements of disclosure of "material information" regarding a proposal or policy apply, under these regulations, both to the insurer and the insured.

(2)

The policy-holder shall assist the insurer, if the latter so requires, in the prosecution of a proceeding or in the matter of recovery of claims which the insurer has against third parties.

(3)

The policy-holder shall furnish all information that is sought from him by the insurer and also any other information which the insurer considers as having a bearing on the risk to enable the latter to assess properly the risk sought to be covered by a policy.

(4)

Any breaches of the obligations cast on an insurer or insurance agent or insurance intermediary in terms of these regulations may enable the authority to initiate action against each or all of them, jointly or severally, under the Act and/or the Insurance Regulatory and Development Authority Act, 1999.

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